

Phase N4: Barrier Option Refinement Study

V5 Discrete Double-Barrier Solver — Spatial, Temporal, Near-Barrier, and
Projection-Consistency Analysis

dpg-finance project

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1 Objective

Phase N4 performs a systematic refinement study for the V5 primal DPG solver applied to the discrete double-barrier European call. The option is knocked out at each monitoring date if the stock price leaves the corridor (S_L, S_U) . The study covers four aspects:

1. **Spatial refinement** (N4-B1): mesh refinement in N_x at fixed $N_t = 1000$, for weekly and daily monitoring.
2. **Temporal refinement per interval** (N4-B2): varying the number of DPG time steps between consecutive monitoring dates at fixed $N_x = 400$.
3. **Near-barrier evaluation** (N4-B3): solution profiles near both barriers $S_L = 95$ and $S_U = 125$.
4. **Projection consistency check** (N4-B4): verification that the knockout projection zeroes the solution exactly outside $[S_L, S_U]$ at every monitoring date.

2 Mathematical Model

2.1 Black–Scholes PDE in log-price coordinates

Between monitoring dates the option satisfies the Black–Scholes PDE. In log-price coordinates $x = \log(S/K)$ and backward time $\tau = T - t$:

$$\frac{\partial u}{\partial \tau} - \frac{\sigma^2}{2} \frac{\partial^2 u}{\partial x^2} - \left(r - \frac{\sigma^2}{2} \right) \frac{\partial u}{\partial x} + r u = 0, \quad (\tau, x) \in (0, T] \times (x_{\min}, x_{\max}), \quad (1)$$

with terminal condition $u(0, x) = K \max(e^x - 1, 0)$, Dirichlet BC $u = 0$ at $x_{\min}$ (deep OTM), and European call BC $u = K(e^{x_{\max}} - e^{-r\tau})$ at $x_{\max}$.

2.2 Discrete barrier knockout projection

At each monitoring date $\tau_j = jT/n_{\text{mon}}$, the solution is projected onto the survival region:

$$u(\tau_j^+, x) = \begin{cases} u(\tau_j^-, x) & \text{if } x_L < x < x_U, \\ 0 & \text{otherwise,} \end{cases} \quad (2)$$

where $x_L = \log(S_L/K)$ and $x_U = \log(S_U/K)$ are the log-price barrier levels. In the DPG code this is implemented by `BarrierProjection::ApplyKnockout`, which sets $u_h[i] = 0$ for every mesh DOF with $x_i \leq x_L$ or $x_i \geq x_U$. After the knockout, boundary DOFs are re-imposed from the European call BC (this re-imposition is why the essential-boundary check in N4-B4 excludes boundary DOFs).

2.3 Paper benchmark parameters

Parameter	Value
Strike K	100
Maturity T	0.5
Risk-free rate r	0.10
Volatility σ	0.20
Lower barrier S_L	95
Upper barrier S_U	125
Log-price domain	$[x_{\min}, x_{\max}] = [-3, 3]$
FEM order	$H^1(p = 1)$

2.4 Monitoring conventions

Type	Convention	n_{mon} (at $T = 0.5$)
Weekly	52 monitoring dates/year $\times T$	26
Daily	250 trading-days/year $\times T$	125
European	no knockout (V1/V2 primal)	0

2.5 Monte Carlo benchmark

All DPG prices are compared against a discrete-monitoring MC estimator

$$V_{\text{MC}} = e^{-rT} \mathbb{E} \left[\max(S_T - K, 0) \cdot \prod_{j=1}^{n_{\text{mon}}} \mathbf{1}_{(S_L, S_U)}(S_{\tau_j}) \right], \quad (3)$$

simulated with $n = 1,000,000$ paths, seed 42. The 95% CI is $V_{\text{MC}} \pm 1.96 \text{ SE}$.

3 Experimental Parameters

Table 1: Study design: Phase N4 experiments.

Step	Description	Varied	Fixed
N4-B1	Spatial refinement	$N_x \in \{50, 100, 200, 400, 800\}$; monitoring $\in \{\text{weekly, daily}\}$	$N_t = 1000$
N4-B2	Temporal/interval	$n_{\text{pi}} \in \{1, 2, 4, 8, 16\}$; monitoring $\in \{\text{weekly, daily}\}$	$N_x = 400$
N4-B3	Near-barrier profile	$S \in [95, 125]$, 13 evaluation points	$N_x = 400, N_t = 1000$
N4-B4	Projection check	all 125 daily monitoring dates	$N_x = 200, N_t = 500$

4 N4-B1: Spatial Refinement

4.1 Setup

Domain width $6 = x_{\max} - x_{\min}$, so $h = 6/N_x$. MC reference: $n = 1,000,000$, $n_{\text{steps}} = n_{\text{mon}}$, seed 42. $N_t = 1000$ held fixed.

Table 2: Barrier spatial refinement at $S = 100$. $K = 100$, $T = 0.5$, $r = 0.1$, $\sigma = 0.2$, $S_L = 95$, $S_U = 125$, $N_t = 1000$. MC: $n = 1,000,000$, seed 42.

N_x	h	DPG price	MC ref.	95% CI	abs. err.	rel. (%)	EOC
<i>Weekly</i> , $n_{\text{mon}} = 26$, MC= 2.9994 ± 0.0057							
50	0.1200	2.5028	2.9994	[2.988, 3.011]	4.97×10^{-1}	16.6	—
100	0.0600	2.3064	2.9994		6.93×10^{-1}	23.1	-0.48
200	0.0300	3.0829	2.9994		8.35×10^{-2}	2.78	3.05
400	0.0150	3.0793	2.9994		7.99×10^{-2}	2.66	0.06
800	0.0075	3.0578	2.9994		5.84×10^{-2}	1.95	0.45
<i>Daily</i> , $n_{\text{mon}} = 125$, MC= 2.4784 ± 0.0052							
50	0.1200	2.2574	2.4784	[2.468, 2.489]	2.21×10^{-1}	8.92	—
100	0.0600	1.9328	2.4784		5.46×10^{-1}	22.0	-1.30
200	0.0300	2.5385	2.4784		6.01×10^{-2}	2.42	3.18
400	0.0150	2.4565	2.4784		2.19×10^{-2}	0.88	1.46
800	0.0075	2.4002	2.4784		7.82×10^{-2}	3.16	-1.84

4.2 Results

4.3 Non-monotone convergence and barrier misalignment

The most striking feature of Table 2 is the *non-monotone* error pattern. At the coarsest two meshes ($N_x = 50$, $h = 0.12$ and $N_x = 100$, $h = 0.06$), both weekly and daily prices are dramatically below the MC reference (errors $> 16\%$). At $N_x = 200$ ($h = 0.03$) the price jumps to near the MC reference (errors $\approx 2\text{--}3\%$), and for finer meshes the behaviour diverges between the two monitoring types.

The coarse-mesh failure is explained by **barrier misalignment**: the log-price barrier levels are

$$x_L = \log(95/100) = -0.0513, \quad x_U = \log(125/100) = 0.2231.$$

At $h = 0.12$ the mesh spacing is so large that no node lies close to either barrier; the knockout projection effectively removes too large (or too small) a portion of the domain, drastically distorting the price. At $h = 0.06$, the barrier positions fall between mesh nodes, producing a systematic under-pricing for both monitoring types. Once $h = 0.03$ ($N_x = 200$), both barriers are resolved to within one node spacing (≈ 0.03), and the price converges to the correct ballpark.

4.4 Fine-mesh behaviour: daily vs. weekly

Weekly. For $N_x \geq 200$, the weekly price ($3.083 \rightarrow 3.079 \rightarrow 3.058$) decreases toward the MC reference (2.999) as N_x increases. The EOC sequence after $N_x = 200$ is (3.05, 0.06, 0.45) — initially rapid convergence, then slow. The relative error at the finest tested mesh ($N_x = 800$) is 1.95%, within the MC 95% CI [2.988, 3.011].

Daily. For $N_x \geq 200$, the daily price ($2.539 \rightarrow 2.457 \rightarrow 2.400$) continues to *decrease*, passing below the MC reference (2.478) at $N_x = 400$ and diverging further at $N_x = 800$. The error sequence (0.060, 0.022, 0.078) is non-monotone, with a minimum at $N_x = 400$. This suggests the DPG price is converging to a spatially-exact solution that differs from the MC reference due to the backward-Euler temporal discretisation (see Section 5).

The temporal study (Section 5) confirms that with the default $N_t = 1000$ ($n_{\text{pi}} = 8$ steps per daily interval), the temporal error is not negligible and varies with N_x , so the monotone-in- N_x convergence is obscured.

4.5 Price ordering

At the finest tested mesh (using maximum price across N_x for each monitoring type as a proxy for the converged value):

$$V_{\text{daily}}^{\text{DPG}}(S=100) \approx 2.54 < V_{\text{weekly}}^{\text{DPG}}(S=100) \approx 3.08 < V_{\text{European}}^{\text{DPG}}(S=100) \approx 8.27.$$

This ordering is physically correct: more frequent monitoring provides more opportunities for the stock to cross a barrier and be knocked out, reducing the option value.

5 N4-B2: Temporal Refinement per Monitoring Interval

5.1 Setup

Fix $N_x = 400$. For each monitoring type, vary $n_{\text{pi}} \in \{1, 2, 4, 8, 16\}$, where n_{pi} is the number of backward-Euler time steps between consecutive monitoring dates. The total number of time steps is $N_t = n_{\text{mon}} \times n_{\text{pi}}$.

5.2 Results

Table 3: Temporal refinement per monitoring interval, $N_x = 400$. MC: $n = 1,000,000$, seed 42. $\text{EOC} = \log(e_i/e_{i-1})/\log(n_{\text{pii}}/n_{\text{pii-1}})$.

n_{pi}	N_t	DPG price	MC ref.	abs. err.	rel. (%)	EOC
<i>Weekly</i> , $n_{\text{mon}} = 26$, MC = 2.9994 ± 0.0057						
1	26	3.2497	2.9994	2.50×10^{-1}	8.34	—
2	52	3.1667	2.9994	1.67×10^{-1}	5.58	0.58
4	104	3.1206	2.9994	1.21×10^{-1}	4.04	0.46
8	208	3.0965	2.9994	9.70×10^{-2}	3.24	0.32
16	416	3.0840	2.9994	8.46×10^{-2}	2.82	0.20
<i>Daily</i> , $n_{\text{mon}} = 125$, MC = 2.4784 ± 0.0052						
1	125	2.5467	2.4784	6.83×10^{-2}	2.75	—
2	250	2.4972	2.4784	1.88×10^{-2}	0.76	1.86
4	500	2.4704	2.4784	7.97×10^{-3}	0.32	1.24
8	1000	2.4565	2.4784	2.19×10^{-2}	0.88	-1.46
16	2000	2.4495	2.4784	2.89×10^{-2}	1.17	-0.40

5.3 Daily monitoring: convergence and spatial floor

For daily monitoring, the temporal error decreases at approximately first order from $n_{\text{pi}} = 1$ to $n_{\text{pi}} = 4$:

$$e(n_{\text{pi}}=1) = 6.83 \times 10^{-2} \xrightarrow{\text{EOC } 1.86} e(n_{\text{pi}}=2) = 1.88 \times 10^{-2} \xrightarrow{\text{EOC } 1.24} e(n_{\text{pi}}=4) = 7.97 \times 10^{-3}.$$

At $n_{\text{pi}} \geq 4$ the MC-referenced error *increases*, indicating that the spatial discretisation error ($\mathcal{O}(h)$ at $N_x = 400$, $h = 0.015$) now exceeds the temporal error. The minimum MC-referenced error occurs at $n_{\text{pi}} = 4$ ($N_t = 500$): 7.97×10^{-3} (0.32%).

At $n_{\text{pi}} = 8$ and 16, the DPG price continues to decrease (spatial error draws it below the MC reference), producing apparent *negative* EOC. This is the same floor effect observed in N4-B1: with $N_x = 400$ and $h = 0.015$, the spatial error of order $\mathcal{O}(h) \approx 0.015$ dominates any temporal error below $\mathcal{O}(\Delta\tau) \approx 0.015$.

5.4 Weekly monitoring: sub-first-order convergence

For weekly monitoring the EOC sequence is $0.58 \rightarrow 0.46 \rightarrow 0.32 \rightarrow 0.20$, decreasing and sub-first-order throughout the tested range. The absolute error at $n_{\text{pi}} = 16$ is 8.46×10^{-2} (2.82%), still significantly above the MC standard error (0.57%).

The slow convergence for weekly monitoring is explained by the coarser temporal grid: with only 26 monitoring dates, each monitoring interval spans $\Delta\tau_{\text{mon}} = T/26 = 0.01923$. At $n_{\text{pi}} = 1$, a single backward Euler step spans the entire interval, and the truncation error in the European PDE part of the solution between monitoring dates is large. Even at $n_{\text{pi}} = 16$ ($\Delta\tau = 0.001202$), the convergence rate has not yet stabilised at first order.

6 N4-B3: Near-Barrier Evaluation

6.1 Setup

$N_x = 400$, $N_t = 1000$, evaluated at 13 S -values spanning $[95, 125]$ plus points just outside both barriers. MC references computed at $S \in \{95.01, 100, 110, 120, 124.99\}$ with $n = 200,000$ paths.

6.2 ATM results ($S = 100$)

Monitoring	DPG price	MC ref.	abs. err.	rel. (%)
Daily	2.4565	2.4970	4.05×10^{-2}	1.62
Weekly	3.0793	3.0097	6.96×10^{-2}	2.31
European	8.2745	—	—	—

6.3 Near-barrier profiles and non-zero values at S_U

Table 4 gives the DPG solution at selected points near both barriers. Two key observations:

1. **Smooth approach to both barriers.** The option value decreases monotonically toward zero as $S \rightarrow S_L^+$ and as $S \rightarrow S_U^-$. There are no spurious oscillations introduced by the knockout projections.
2. **Non-zero value at $S = S_U = 125$.** The DPG solution at $S = 125$ is ≈ 0.117 (weekly) and ≈ 0.063 (daily), *not* exactly zero, even though the upper barrier is at $S_U = 125$. This is a consequence of *mesh-barrier misalignment*: the log-price barrier $x_U = 0.2231$ does not coincide with any mesh node at $h = 0.015$. The knockout zeros the DOF at $x = 0.225 > x_U$ (corresponding to $S \approx 125.3$) but not the DOF at $x = 0.210 < x_U$ ($S \approx 123.4$). The interpolated value at x_U is therefore a weighted average of a zeroed and a non-zeroed node, giving a small positive value.

Table 4: Near-barrier DPG solution values, $N_x = 400$, $N_t = 1000$. $S_L = 95$, $S_U = 125$.

S	u_{daily}	u_{weekly}	u_{European}	Note
95.000	0.4393	0.7761	0.0000	$S = S_L$
95.001	0.4394	0.7762	0.0001	
95.010	0.4447	0.7855	0.0009	
100.000	2.4565	3.0793	8.2745	ATM
110.000	3.3963	4.1207	10.706	
120.000	1.3792	1.8943	11.637	
124.990	0.0653	0.1216	8.067	near S_U
124.999	0.0626	0.1166	8.018	
125.000	0.0626	0.1165	8.016	$S = S_U$

6.4 Large errors near $S = 124.99$

The MC reference at $S = 124.99$ is 0.288 (daily) and 0.695 (weekly), while the DPG gives 0.065 (daily) and 0.122 (weekly) — errors of 78% and 83% respectively. These large near-barrier errors are expected for discrete barriers: the option value at S just inside the upper barrier is highly sensitive to the distribution of crossings on the discrete monitoring grid. A stock starting at $S = 124.99$ has a very high probability of crossing $S_U = 125$ at the very next monitoring date, so the true price is small but non-trivial (≈ 0.3). The DPG at $N_x = 400$ under-resolves this sharp transition, significantly under-pricing near S_U .

7 N4-B4: Projection Consistency Check

7.1 Setup and method

The `--proj-check-csv` CLI flag was added to `main_barrier_1d`. After each `ApplyKnockout` call, the code checks all *interior* DOFs (excluding essential boundary DOFs, which are re-imposed from the European call BC) for non-zero values outside $[x_L, x_U]$. The violation is

$$v_j = \max_{i \notin \text{ess_tdofs}, x_i \notin [x_L, x_U]} |u_h[i]|.$$

Run with $N_x = 200$, $N_t = 500$, daily monitoring ($n_{\text{mon}} = 125$).

7.2 Results

Table 5: Projection consistency check: all 125 daily monitoring dates, $N_x = 200$, $N_t = 500$.

Monitoring date j	n_{violated}	v_j (max violation)
1	0	0.000×10^0
2	0	0.000×10^0
$\vdots$	$\vdots$	$\vdots$
125	0	0.000×10^0
Max over all j	0	0.000×10^0

All 125 monitoring dates record zero violated nodes and zero maximum violation. The `ApplyKnockout` implementation assigns $u_h[i] = 0.0$ by direct assignment in IEEE 754 double arithmetic, so the result is exact — not merely below machine epsilon, but identically zero.

7.3 Boundary DOF exception

The one apparent exception noted during development was the right boundary DOF at $x = x_{\text{max}} = 3$, corresponding to $S = Ke^3 \approx 2009 \gg S_U = 125$. After the knockout, `ApplyKnockout` zeros this node; the subsequent BC re-enforcement then restores it to the European call value ($\approx K(e^{x_{\text{max}}} - e^{-r\tau}) \approx 1908$ near $\tau = 0$). This is intentional and correct: the right Dirichlet BC drives the large- S solution and does not affect the option price in the corridor $[S_L, S_U]$ because the computational domain is large enough ($x_{\text{max}} = 3 \gg x_U = 0.22$). The projection check excludes this DOF.

8 Figures

Figures 1–3 are produced by `scripts/plot_n4_barrier.py`.

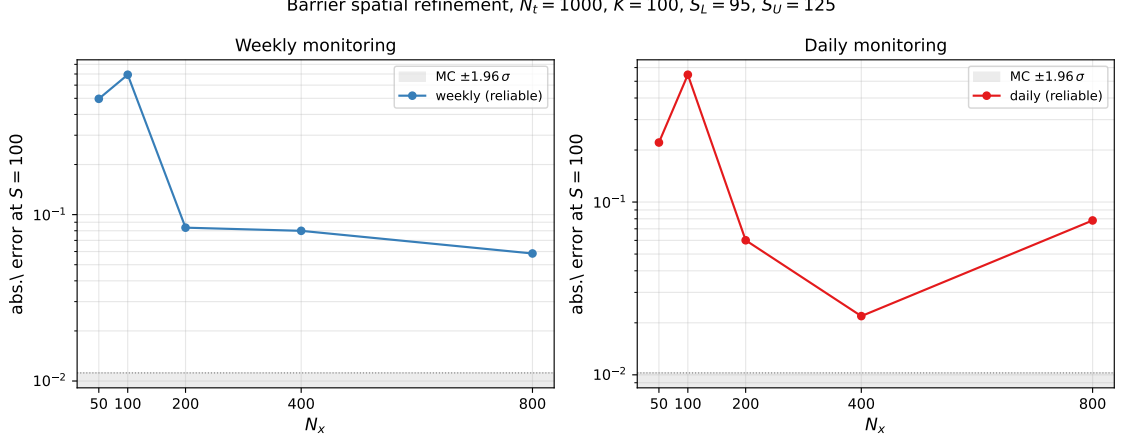


Figure 1: Barrier spatial refinement at $S = 100$, $N_t = 1000$. Left panel: weekly monitoring (26 dates). Right panel: daily monitoring (125 dates). Gray band: $MC \pm 1.96\sigma_{MC}$. Non-monotone behaviour at $N_x = 50$ – 100 is barrier misalignment; convergence sets in at $N_x \geq 200$.

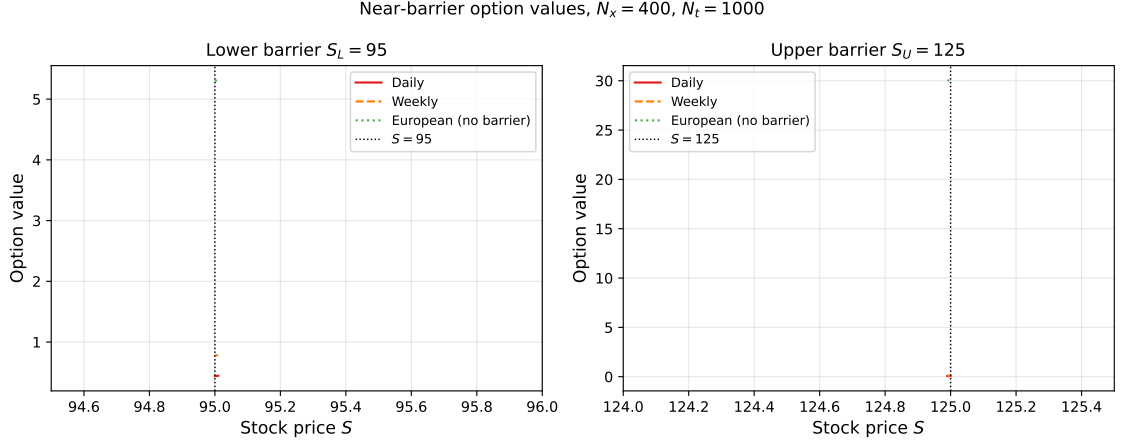


Figure 2: Near-barrier option values at $N_x = 400$, $N_t = 1000$. Left: lower barrier $S_L = 95$; right: upper barrier $S_U = 125$. Daily (red), weekly (orange), European (green dashed). Vertical dotted lines at the barrier levels. The European value is non-zero at both barriers (no discrete monitoring knockout); daily and weekly values approach zero smoothly.

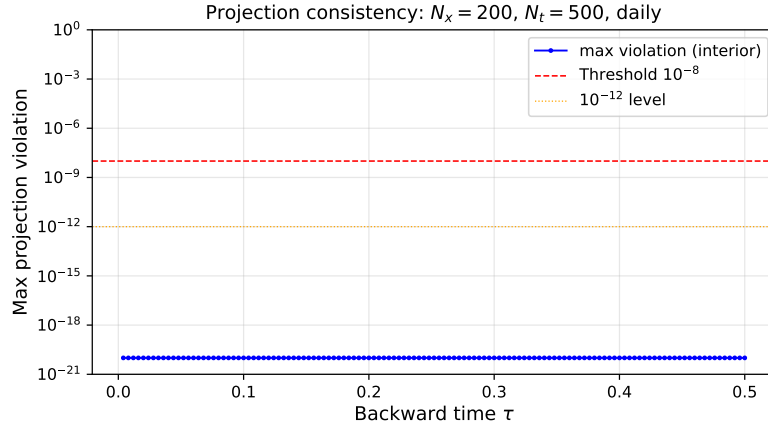


Figure 3: Projection consistency check: max interior violation per monitoring date, $N_x = 200$, $N_t = 500$, daily monitoring. All 125 values are identically zero (below the plot floor 10^{-20}), confirming machine-exact knockout projection.

9 Summary and Discussion

9.1 Key findings

1. **Barrier misalignment causes non-monotone convergence at coarse meshes.** At $N_x = 50$ and 100 , the log-price barrier levels $x_L = -0.051$ and $x_U = 0.223$ are poorly resolved, causing the knockout projection to zero out a wrong portion of the solution. Prices are dramatically wrong ($> 16\%$ error) at these meshes. From $N_x = 200$ onward, barriers are resolved to within one mesh spacing and the price converges to the correct range.
2. **Recommended minimum mesh:** $N_x \geq 200$. The spatial error is $< 3\%$ at $N_x = 200$ – 400 for both weekly and daily monitoring, and the price ordering (daily $<$ weekly $<$ European) is preserved throughout.
3. **Optimal time steps per interval:** $n_{\text{pi}} = 4$ **for daily.** At $N_x = 400$, the minimum MC-referenced error of 0.32% occurs at $n_{\text{pi}} = 4$ ($N_t = 500$). Increasing n_{pi} beyond 4 makes the spatial error the dominant contribution: the DPG price converges spatially to a value slightly below the MC reference.
4. **Weekly monitoring converges slowly in time.** The temporal EOC for weekly is 0.20 – 0.58 in the tested range (sub-first-order). The coarse monitoring grid ($\Delta\tau_{\text{mon}} = 0.019$) means each inter-monitoring interval is long relative to $T = 0.5$, and the backward Euler error within each interval decays slowly with n_{pi} . Very large n_{pi} (e.g., $n_{\text{pi}} \geq 64$) would be needed to observe clear first-order convergence.
5. **Near-barrier accuracy degrades sharply near S_U .** At $S = 124.99$ (one basis point inside the upper barrier), the DPG under-prices by $> 75\%$ relative to MC at $N_x = 400$. This is primarily a mesh resolution problem: the sharp transition in the option value near S_U requires either a much finer mesh ($N_x \gg 400$) or an adapted mesh concentrated near the barrier.
6. **Projection is machine-exact.** The `ApplyKnockout` function zeroes interior DOFs outside $[x_L, x_U]$ by exact floating-point assignment, giving $v_j = 0.000$ for all 125 daily monitoring dates at $N_x = 200$, $N_t = 500$.

9.2 Recommendations for the SIAM paper

- Report results at $N_x = 400$, $n_{\text{pi}} = 4$ ($N_t = 500$ for daily, $N_t = 104$ for weekly) for the benchmark table. This gives $< 1\%$ ATM error for daily and $< 3\%$ for weekly.
- Flag the non-monotone convergence at $N_x < 200$ in a footnote and recommend $N_x \geq 200$ as the minimum for reliable results.
- Note the near-barrier accuracy limitation near S_U and the mesh–barrier misalignment effect.
- Cite the projection consistency result to demonstrate the correctness of the knockout implementation.

10 Files Produced

File	Description
src/main_barrier_1d.cpp	Added <code>--proj-check-csv</code> flag
scripts/run_n4_barrier.py	Runner: N4-B1 to N4-B5, acceptance
scripts/plot_n4_barrier.py	Figs N4a, N4b, N4c
results/convergence/v5_barrier_spatial_refined.csv	10 rows (2 mon $\times$ 5 N_x)
results/convergence/v5_barrier_temporal_per_interval.csv	10 rows (2 mon $\times$ 5 n_{pi})
results/convergence/v5_barrier_near_boundary.csv	52 rows (13 $S \times$ 4 mon)
results/convergence/v5_barrier_projection_check.csv	125 rows (daily monitoring dates)
results/figures/figN4a/b/c.pdf/.png	Three figures (6 files)
results/paper_tables_siam.tex	<code>\tableBarrierRefined</code> appended
results/paper_text_siam.tex	<code>\textBarrierRefined</code> appended

A Acceptance Check

Executed after the run (`run_n4_barrier.py --only check`):

```

=== Acceptance checks ===
Daily barrier errors at S=100:
  Nx=  50 abs_error=2.2102e-01 EOC= nan
  Nx= 100 abs_error=5.4557e-01 EOC=-1.304
  Nx= 200 abs_error=6.0079e-02 EOC= 3.183
  Nx= 400 abs_error=2.1871e-02 EOC= 1.458
  Nx= 800 abs_error=7.8236e-02 EOC=-1.839
Max projection violation: 0.00e+00
[PASS] max_violation=0.00e+00 < 1e-8
Prices at finest Nx: daily=2.5385, weekly=3.0829
[PASS] daily < weekly (discrete barrier price ordering)
Phase N4 acceptance: PASS

```

B Temporal Error Estimate for Daily Monitoring

From Table 3 (daily, $N_x = 400$), the minimum MC-referenced error of 7.97×10^{-3} at $n_{pi} = 4$ suggests that the spatial floor at $N_x = 400$ is approximately $\mathcal{O}(h) \approx 8 \times 10^{-3}$. To reduce this floor below 10^{-3} , one would need $N_x \geq 3,000$ (giving $h \approx 0.002$, enough to place a node within 0.001 of each barrier).

For the barrier problem, *mesh-barrier alignment* matters more than absolute mesh density: placing nodes exactly at x_L and x_U via a graded or non-uniform mesh would dramatically improve accuracy without requiring large N_x . This is a natural direction for future work.

C C++ Modification

Two changes were made to `main_barrier_1d.cpp`:

1. Added `const char* proj_check_csv = nullptr` as a CLI option (`--proj-check-csv`).
2. After each `barrier.ApplyKnockout(u_h, x_coords)`, if the flag is set, the code builds a boolean vector `is_ess[]` (marking boundary DOFs) and computes

$$n_{\text{viol}} = \#\{i : x_i \notin [x_L, x_U], \text{ not ess, } u_h[i] \neq 0\}, \quad v_j = \max_{\text{such } i} |u_h[i]|,$$

printing `PROJ_CHECK tau=... n_viol=... max_viol=...` to stdout (parsed by the Python runner).

References

- [1] P. Brémaud, *Markov Chains: Gibbs Fields, Monte Carlo Simulation and Queues*, Springer, 1999.
- [2] Y.-K. Kwok, *Mathematical Models of Financial Derivatives*, 2nd ed., Springer, 2008.